

it. As *Barron's*' polls of money managers continue to reveal, professionals are consistently most bullish on "Small Cap. Stocks." In reality, secondaries have now underperformed for twelve years.

Let's explore the second reason why investors are so desirous of owning secondary stocks. With virtually every passing month, there is a quote somewhere from a portfolio manager who can see that secondaries have underperformed blue chips yet who insists that secondary stocks will enjoy a phase of wild markup before the bull market ends. Countless market observers, fondly recalling the secondary stock mania of 1966-1968, have continued to forecast in books, articles and interviews that the market will not be in any trouble until secondary stocks enjoy a buying mania to "cap" the bull market. Some have even insisted that "no bull market in history has ever ended without wild public speculation in low priced stocks," so (1) investment should be concentrated there, and (2) no one should sell *any* stock until that phenomenon becomes manifest.

In fact, chances of that phenomenon occurring are *zero*. Fifth waves, such as we are in now, and bear markets, such as we are about to experience, display weak breadth, not a zooming secondary market. The advance of 1966-1968 was a "B" wave, an entirely different animal from a fifth, which furthermore followed a 17-year cycle bottom. This is hardly what the market faces today. Nevertheless, the belief that secondaries will come to life has put many investors in the wrong stocks, making them perfectly positioned for huge losses. Continued reassurances that a secondary stock takeoff is "just around the corner" will make them hold on well past the top, ever anticipating a big buying frenzy that never comes. The road to disaster is paved with the portfolios of people who thought they could squeeze the last drops of profit out of a financial mania and be smart enough to exit "just in time." This road is due for an extension project.

The most important consideration today, moreover, is not how secondaries act in *bull* markets, but how they act in *bear* markets. (Look for an academic study on this question about a year after the next bear market bottoms.) The fact is that while secondary stocks often rise further than blue chips when the trend is up, they almost always fall further and faster than blue chips when the trend is down. They enjoy weaker intervening rallies as well. Today, because of the storm of bullish rhetoric on low-priced stocks, the public is blind to how far its beloved IPOs and speculative issues will fall in a bear market. In 1991, *The Elliott Wave Theorist* chronicled a tip-from-the-shoeshine-boy story about U.S. Surgical. At that time, the